

Real Estate Finance

Guide Spain

Everything investors & developers need to know
about securing financing in Spain.

2026 Edition · Costa del Sol · Costa Blanca · Valencia · Ibiza

€300M+

Financing Facilitated

100+

Transactions Closed

80+

Lending Partners

ABOUT THIS GUIDE

What you will find inside

Spain's real estate market offers exceptional opportunities for developers and investors — but navigating the financing landscape is not straightforward. This guide is based on Costa Capital's direct deal experience across the Spanish Mediterranean coast.

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01

Track Record

Numbers that speak for themselves

€300M+

Financing Facilitated

100+

Transactions Closed

80+

Lending Partners

48h

Indicative Terms

A proven partner across the Spanish coast

Costa Capital was founded with a single conviction: that international investors and developers deserve access to the same financing structures that experienced local operators take for granted. Over hundreds of transactions we have built a lender network — banks, debt funds, bridge lenders, family offices, and private credit providers — that most investors cannot access independently.

Our deal experience spans

- Residential developments from 5 to 200+ units
- Bridge financing for time-sensitive acquisitions
- Hotel and hospitality assets
- Distressed assets, insolvency situations and inheritance portfolios
- Refinancing to release equity from existing assets
- Cross-border structures (Dutch BV, UK Ltd, Belgian NV, German GmbH above Spanish SL)
- Off-market assets — regularly sourced directly via our principal network (selective, not our primary activity)

Development expertise in the team

The Costa Capital team includes professionals with hands-on development experience — from land acquisition and permit processes to construction management and sales. This means we understand a developer's project from the inside, not just from a financing spreadsheet. We speak the same language as promoters, architects, and project managers.

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Configure your own project

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02

Why Investors Work With Costa Capital

Our network advantage

Spain's financing market is fragmented. Dozens of lenders — each with different appetites, structures, and speed — operate with limited transparency. Knowing which lender to approach, and how to present your project, determines whether you get financed, at what cost, and how quickly.

Costa Capital sources, structures, and negotiates financing solutions via an extensive network of banks, debt funds, bridge lenders, family offices, and private credit providers.

What we offer	Why it matters
Financing €350K to €50M+	Single point of contact across all ticket sizes
Indicative terms within 48 hours	Enables fast deal decisions and exclusivity periods
Trilingual team (EN / ES / NL)	No translation friction with lenders or notaries
Deep lender relationships across Spain	Access to non-public credit appetites
Senior, bridge, mezzanine & development finance	Full capital stack — not just one product
Up to 80% LTC for qualifying projects	Higher leverage than most investors can arrange directly
Up to 65% LTV for qualifying assets	Competitive structures for acquisitions and refinancing
Development expertise in the team	We understand your project from the inside
Experience with international investors	Cross-border structures, AML/KYC preparation

Important: Leverage levels depend on asset quality, location, sponsor experience, and exit strategy. Higher leverage is available via selected lenders and assessed on a case-by-case basis.

03

How Spanish Real Estate Finance Works

LTV, LTC, loan types, and how lenders think

The Spanish Lending Landscape

Spain has three distinct categories of real estate lenders. Spanish retail banks (CaixaBank, Sabadell, BBVA) are conservative and require extensive documentation. Alternative lenders and debt funds move faster and accept more complex structures. Bridge lenders prioritise speed above all else.

Lender Type	LTV Range	Rate (p.a.)	Speed	Best For
Spanish Retail Bank	50–65%	4–7%	3–6 months	Stable income properties
Alternative / Debt Fund	60–70%	7–12%	4–8 weeks	Development & bridge
Bridge Lender	60–70%	8–15%	1–2 weeks	Urgent exits & acquisitions
Private / Family Office	50–65%	6–11%	2–4 weeks	Large tickets €5M+
Crowdlending Platform	55–65%	8–13%	3–6 weeks	Smaller projects €350K–€2M

How LTV is Calculated in Spain

Loan-to-Value (LTV) in Spain is calculated against the **lower of purchase price or independent appraisal (tasación)**. The tasación must be carried out by a Bank of Spain-registered valuation company. For development projects, lenders typically use either the current land value or the projected GDV at a haircut.

LTV vs LTC — know the difference

LTV (Loan-to-Value) is calculated against the current asset value. LTC (Loan-to-Cost) is calculated against total project cost including land, construction and fees. For development projects, LTC is often the more relevant metric — and can be more favourable. Costa Capital structures proposals using whichever basis best serves the borrower.

Building Permits (Licencia de Obra Mayor)

Development finance is almost always conditional on a valid building permit. Lenders will not commit to full construction drawdown without it. Some bridge lenders will provide acquisition financing against land value while the permit is pending — at higher LTV haircuts.

Important: Never sign a compromiso de compraventa without confirming your financing timeline aligns with the permit process. Permit delays are common and can trigger contract penalties.

04

Beyond Traditional Lending

Up to 80% LTC — what's possible via specialists

Most guides to Spanish real estate finance describe what retail banks offer. This section covers what specialist lenders — accessible through an established intermediary — can actually provide.

What specialist lenders can offer

While many traditional lenders remain conservative, selected specialist lenders within Costa Capital's network may provide up to 80% LTC and 65% LTV structures for qualifying projects, subject to location, sponsor experience, and exit strategy.

What becomes possible with specialist financing

- Up to **80% LTC** on development projects — covering land, construction and soft costs
- Up to **65% LTV** on current asset value for acquisitions and refinancing
- Up to **70%+ LTV** on stabilised, income-producing assets
- **Combined senior + mezzanine structures** — filling the equity gap when you have 15% but need 25%
- **Pre-permit bridge financing** — acquisition against land value while permit is processed
- **Cross-border borrower structures** accepted — Dutch BV, UK Ltd, Belgian NV above Spanish SL

Structure	Max Leverage	Rate Range	Typical Use
Senior only	65% LTV / 70% LTC	7–12%	Standard development or acquisition
Senior + Mezzanine	Up to 80% LTC	Senior 7–10% + Mezz 12–18%	Higher leverage, equity-efficient
Bridge (standard)	65–70% LTV	8–15%	Fast acquisition or refinancing
Bridge (complex)	55–65% LTV	Up to 18%	Distressed, legal situations
Development finance	Up to 80% LTC	8–13%	Land + construction combined

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Bridge Loans & Developer Finance

Short-term vs long-term structures

Bridge Loans — When Speed is Everything

Bridge loans in Spain are short-term (6–24 months), asset-backed, and designed for situations where conventional financing is too slow. Common uses: distressed asset acquisitions, urgent refinancing, buying below-market value, and renovation projects ahead of refinancing.

Term	6–24 months (some lenders up to 36 months)
LTV	Up to 70% of current value (not GDV)
Interest	Typically 8–15% p.a. — occasionally higher for complex situations. Often rolled up (no mon
Exit fee	0–2% of loan amount
Arrangement fee	1–2%, paid upfront or on drawdown
Security	First charge mortgage (hipoteca)
Min ticket	€350,000

Developer Finance — The Full Development Stack

Full development finance covers land acquisition and construction costs. Lenders typically structure this as a **senior tranche** (land, up to 70% LTC) and a **construction tranche** drawn in stages against architect certificates (certificaciones de obra). With mezzanine, total leverage can reach 80% LTC.

- Pre-sales: most lenders require 30–50% presales before releasing construction tranches
- Equity: typically 20–30% of total project cost (less with mezzanine)
- Cost overrun reserve: 10% contingency typically held in escrow
- Exit: via unit sales proceeds, or refinance onto long-term investment mortgage

Mezzanine finance — filling the equity gap

If you have 15% equity but need 20–25%, mezzanine finance bridges the gap. Mezzanine sits behind senior debt at 12–18% p.a. Costa Capital can structure both senior and mezzanine in a single process, significantly reducing time to close.

06

What Lenders Really Want to See

The 7 critical documents

Slow or failed financing almost always comes down to incomplete or poorly presented documentation. Spanish lenders assess risk through a specific lens — here is exactly what they need.

01

Nota Simple Informativa

Current land registry extract (max 3 months old). Shows ownership, charges, and encumbrances. Available from the Registro de la Propiedad for €9–15. Lenders will not proceed without it.

02

Independent Tasación

Bank of Spain-registered appraisal addressed to the specific lender. Valid for 6 months. Cost: €800–2,500.

03

NIE & Identification

All borrowers and guarantors must have a valid NIE. Non-residents require this even for asset-backed loans.

04

Financial Statements

Last 2–3 years tax returns or audited accounts. Bank statements for 6 months minimum. For SPV structures: both SPV and beneficial owner.

05

Business Plan / Financial Model

For development finance: full model with costs, presales, timeline, and sensitivity analysis — including a downside scenario showing the lender's exit at -20% values.

06

Licencia de Obras (or Status)

Building permit, or documented evidence of permit status and expected timeline. Pre-permit financing is possible at reduced LTV.

07

Corporate Structure Chart

Clear ownership diagram — especially critical for multi-jurisdiction structures. Full AML/KYC documentation for all UBOs owning >25%.

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LTV & Pricing by Region

Costa del Sol, Costa Blanca, Valencia, Ibiza

LTV ratios and interest rates are not uniform across Spain. Lenders price risk based on market liquidity, tourism demand, and resale velocity in each region. The figures below reflect typical alternative and bridge lending — retail banks are more conservative.

Region	Max LTV Bridge	Max LTV Dev	Rate Range	Market Note
Costa del Sol (Marbella/Estepona)	70%	65%	8–14%	Highest demand, fastest resale. Most lender-friendly.
Ibiza / Balearics	65%	55%	9–15%	High values. Lenders cautious on planning restrictions.
Costa Blanca (Alicante/Dénia/Jávea/Moraira)	68%	62%	8–13%	Strong N. European buyer base. Active market well above €2M.
Valencia Region	65%	60%	8–12%	Growing market. City assets preferred by lenders.
Barcelona / Madrid	65%	60%	7–12%	Urban only. Rental regulation risk in Barcelona.
Costa Brava / Canarias	60%	55%	9–14%	Selective lender appetite. Strong for luxury €3M+.

Costa Capital's primary focus: Spain's Mediterranean coast

We have deepest expertise and the most active lender relationships on the Costa del Sol, Costa Blanca (Alicante, Dénia, Jávea, Moraira, Altea, Benissa), Valencia region, and Ibiza. For projects in these areas we typically provide indicative terms within 48 hours.

08

NIE, Escritura & Spanish Legal Basics

What every foreign buyer must know

The NIE — Your First Step

The NIE (Número de Identificación de Extranjero) is the Spanish tax identification number for foreigners. Required for every property transaction, opening a bank account, and almost every contractual obligation in Spain.

- Application: Spanish consulate in your home country, or in-person at a Comisaría in Spain
- Timeline: 2–6 weeks via consulate; 1–3 weeks in person in Spain
- Cost: approximately €10–15 in government fees
- A gestor or lawyer can obtain it on your behalf using a poder notarial

The Escritura Pública — The Only Title That Counts

Property ownership in Spain is formalised through the **escritura pública** — a notarised deed signed before a Spanish notary, then registered at the Registro de la Propiedad. Until registration, your ownership is not fully protected.

Important: Never complete a purchase without registration of the escritura. This takes 4–8 weeks post-signing. A mortgage lien must also be registered — lenders will not release final funds until the charge appears on the nota simple.

Key Transaction Costs in Spain

Cost Item	New Build	Resale (Andalucía)	Resale (Valencia/Alicante)
Transfer Tax (ITP / IVA)	IVA 10%	ITP 7%	ITP 10%
Stamp Duty (AJD)	1.5–2%	Included in ITP	1.5%
Notary & Registry	0.3–0.5%	0.3–0.5%	0.3–0.5%
Legal / Gestoría	0.5–1%	0.5–1%	0.5–1%
Total (approx.)	12–14%	8–9%	12–13%

Tourist licence regulations — verify before you buy

Tourist rental regulations vary significantly by municipality and change frequently. Barcelona has suspended new licences; Dénia, Jávea, and others operate quota systems. Independent legal verification of tourist licence status and transferability should always be obtained prior to acquisition.

09

Distressed Assets & Special Situations

Complex deals, inheritances, insolvencies

Distressed opportunities remain available in Spain, particularly through complex legal situations, inheritances, insolvencies, and selected bank disposals. These represent some of the best risk-adjusted returns available — for investors with the right expertise and financing partner.

Types of Special Situation Assets

- **REO (Real Estate Owned):** bank-owned assets from foreclosures, sold via SAREB or directly — selective availability
- **Pre-foreclosure:** owner in arrears — purchased directly with lender consent, often at a discount
- **Occupied assets (okupa):** unauthorised occupants — desahucio process takes 6–24 months; price reflects risk
- **Inheritance assets:** multiple heirs, often priced below market for quick resolution
- **Insolvency (concurso de acreedores):** court approval required — timeline 3–18 months

Financing Special Situation Assets

Standard lenders will not finance distressed or legally complex assets. Specialist bridge lenders will — at a discount to assessed value, reflecting the additional risk and timeline.

1	Acquisition Bridge loan at 55–65% of quick sale value — speed and certainty of funds is the seller's priority
2	Regularisation Legal process to clear title, occupants, inheritance dispute, or insolvency — typically 3–18 months
3	Refurbishment Optional renovation to increase value, funded from reserves or additional facility
4	Refinance or Sale Refinance onto long-term loan at improved LTV once title is clear, or sell at improved market value

10

Case Studies

Real transactions — illustrative of deal types

The following case studies are illustrative of transaction types Costa Capital has structured. Specific details have been adjusted for confidentiality.

Case 1 Ibiza Villa Refinance	
Asset	Luxury rental villa, Ibiza
Facility	€2.4M
Leverage	55% LTV
Timeline	4 weeks to completion
Objective	Refinance existing debt and release equity for new acquisitions
Outcome	Financed via specialist lender despite complex international ownership structure and multiple foreign sponsors

Case 2 Marbella Development Finance	
Project	Residential development, Marbella
Facility	€8M
Leverage	75% LTC
Timeline	8 weeks to first drawdown
Objective	Finance land acquisition and construction while preserving investor equity
Outcome	Senior development facility with phased construction drawdowns against architect certificates

Additional case studies available on request

Costa Capital has completed transactions across development finance, bridge lending, refinancing, distressed assets, residential portfolios, hospitality assets, and cross-border structures. Contact us to discuss comparable transactions in your target market.

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How Leverage Improves Returns

ROE vs ROI — why structure matters

Professional investors think in Return on Equity (ROE), not just asset value. The right financing structure can significantly improve the return on your invested capital while preserving liquidity for additional acquisitions.

	Without Financing	With 65% LTV Financing
Purchase Price	€1,000,000	€1,000,000
Debt	—	€650,000
Investor Equity	€1,000,000	€350,000
Profit on Sale	€200,000	€200,000 (less financing costs)
Return on Equity	20%	~57%
Liquidity for next deal	—	€650,000 preserved

The compounding effect of leverage

The same €1,000,000 of equity can control €2.85M of assets at 65% LTV — or €5M+ with a combined senior/mezzanine structure at 80% LTC. Costa Capital structures financing to maximise your equity efficiency while maintaining appropriate risk parameters.

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Why Lenders Reject Deals

Common red flags — and how to fix them

Most rejected financing applications share common characteristics. Understanding these in advance — and structuring your project accordingly — is where Costa Capital adds significant value before a single lender is approached.

1

Unclear exit strategy

Lenders are primarily concerned with how they get repaid. A vague exit ('sell the units') is not sufficient — timeline, pricing assumptions, and comparable sales are required.

2

Unrealistic GDV or valuation assumptions

Lenders will commission their own tasación. If your model assumes values 20% above market, the loan offer will be 20% lower than expected.

3

Insufficient equity contribution

Most lenders require 20–30% equity minimum. Attempting to finance 90%+ of a project signals inexperience or asset quality concerns.

4

Weak sponsor track record

Lenders lend to people as much as projects. A first-time developer at 75% LTC will face headwinds without an experienced co-sponsor.

5

Incomplete KYC/AML documentation

Multi-jurisdiction structures are legitimate — but AML delays are the #1 cause of financing slippage. Prepare full UBO documentation proactively.

6

No sensitivity analysis in the financial model

Base-case-only models signal inexperience. Always model a downside scenario showing the lender's recovery in a distressed sale at -20% to -30% of GDV.

Many of these challenges are solvable in advance

Costa Capital reviews your project before approaching lenders — identifying and resolving structural issues that would otherwise lead to rejection or unfavourable terms. This preparation typically reduces financing costs and shortens the process significantly.

13

10 Mistakes That Kill Deals

Errors investors make — and how to avoid them

1

Signing the compromiso without financing confirmed

The compromiso is legally binding. If financing falls through, you typically lose your 10% deposit. Always insert a condición suspensiva (conditional financing clause).

2

Underestimating acquisition costs

ITP, AJD, notary, registry, and legal fees add 10–15% to the purchase price in most regions. Model the full cost from day one.

3

Using an old or wrong tasación

The tasación must be recent (max 6 months) and addressed to your specific lender. A tasación from another lender process is not accepted.

4

Applying to the wrong type of lender

Match lender type to loan purpose. A Spanish retail bank for a 6-month bridge will fail — and cost weeks of lost time.

5

Opaque structures without prior KYC preparation

Multi-layered structures are legitimate — but prepare full UBO documentation proactively. AML delays are the single largest cause of financing slippage.

6

No sensitivity analysis in the model

Always include a downside scenario showing the lender's security in a sale at -20%. Base-case-only models signal inexperience.

7

Ignoring tourist licence status before acquisition

Verify transferability and current quota availability before exchange. Rules vary by municipality — always obtain independent legal advice.

8

Not engaging a gestor from day one

A gestor handles NIE, bank accounts, tax registration, and notary coordination. Budget €1,500–3,000.

9**Assuming Northern European timelines**

Add 2–4 weeks to every process in your model. Spanish processes take longer than expected.

10**Not separating deal structure from execution**

A great structure does not close itself. You need a lender mandate, a complete documentation pack, and a realistic timeline.

14

Your Financing Checklist

Step-by-step preparation guide

Use this checklist before approaching any lender. The more items you tick off in advance, the faster and cheaper your financing will be.

Before You Sign Anything

- NIE obtained for all borrowers and guarantors
- Spanish bank account open (or gestor appointed)
- Corporate structure defined and all UBO documentation prepared
- Initial tasación or desktop valuation completed
- Nota simple checked — no unexpected charges or encumbrances
- Acquisition costs fully modelled (ITP/IVA + fees = 10–15%)
- Financing condición suspensiva included in any compromiso
- Tourist licence status verified with independent legal advice

Before Approaching a Lender

- Full financial model with base + downside scenarios
- Business plan / project overview (1–2 pages maximum)
- Last 2–3 years tax returns or audited accounts available
- 6 months bank statements ready for all entities
- Corporate structure chart with full UBO identification
- Licencia de obras status fully documented
- Exit strategy clearly defined with pricing assumptions and comparables
- Comparable sales gathered to support valuation

During the Process

- Formal tasación commissioned addressed to the specific lender
- Full AML/KYC pack prepared (passport, utility bills, source of funds)
- Notary appointment confirmed with all parties available
- Mortgage terms reviewed by independent Spanish lawyer
- All lender conditions (condiciones previas) documented and tracked
- Insurance arranged (vida, hogar) if required by lender

Ready to Finance Your Spanish Project?

Costa Capital structures real estate finance for developers and investors across the Spanish Mediterranean coast.

Bridge Loans	Development Finance	Senior Debt
Mezzanine Finance	Refinance Facilities	Distressed Asset Finance

€350K – €50M+

Up to 80% LTC

Up to 65% LTV

Terms in 48h

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